

in regulatory fees relative to earnings and credit losses since the 2008 financial crisis. Beginning from Basel's III Risk-weighted capital adequacy norms to a growing number of RBI regulations that banks must comply with; compliance can significantly strain resources.

Security Breaches: With a series of breaches and frauds over the past few years, security is one of the leading banking industry challenges, as well as a major concern for bank and credit union customers.

Continuous Innovation: Sustainable success in business requires insight, agility, rich client relationships, and continuous innovation. Innovation stems from insights, and insights are discovered through customer interactions and continuous organisational analysis.

Check Your Progress 5

- 1) 'The policy initiatives or measures taken by the government to provide a boost in service sectors are not adequate enough instead big-bang reforms are required to provide impetus to growth of sectors'. Comment on the statement with suitable examples.

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- 2) Do you think that GST law launched in July 2017 has put the break on the growth and development of certain major service sectors in India? Give adequate justifications with suitable citations in your answer.

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- 3) Do you agree with the view that infrastructure constraint is the biggest bottleneck in growth and development of major service sectors in India? Justify adequately.

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- 4) 'Service sectors which are contributing significantly to service GDP requires more reforms to improve their competitiveness and exploit their unleashed potential' Comment on the statement with suitable examples and justifications.

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16.8 POLICY IMPLICATIONS

One of the probable reasons for lopsided growth in services is the fact that reforms in India at the sectoral level have evolved in an ad-hoc way. There has been no coherent overall policy for services in line with the industrial policy and agricultural policy. Consequently, the depth and pace of reforms lack uniformity across sectors.

Given the large positive externalities of services, it is important for an economy to provide services as efficiently as possible. Keeping in view the backward and forward linkage for activities in different sectors it is observed that the services that have maximum forward as well as backward linkages are trade, transport, and construction. These sectors are found to have high domestic constraints and therefore require immediate policy reforms.

It is observed that health and education sectors have high potential for trade since they have low external barriers and high growth rates. This indicates substantial domestic constraints in these services. Given the low-cost quality treatment available in India, there is a large scope for health tourism in India. India also has a competitive advantage in the practice of alternative medicine. These areas should be developed and exploited for trade opportunities. An important domestic constraint identified in the health sector is that since health sector is on the concurrent list, i.e., both state and central governments have jurisdiction over this sector; a number of regulations are imposed by the state governments. There are also state-specific regulations of the town and planning departments on the design and construction of healthcare infrastructure, which form important domestic constraints to trade in health services. Thus, even though there is no cap on FDI in health services, there is still a low share of health services in total trade and FDI. There is therefore a need to have a clear-cut demarcation of responsibilities of Centre and the State in this respect. Regarding trade in education services, there is a need to study the system of regulation and accreditation of educational institutions in foreign countries and accordingly develop own accreditation system.

With respect to slow growing services, which have low share in exports, e.g., professional services, like legal, postal, accountancy, etc. we find that these services have restricted liberalisation. Both external and domestic constraints restricting growth in these services need to be identified and addressed by taking relevant policy initiatives.

The full gains of trade liberalisation in services can however be acquired by an economy only if certain economy-wide efforts are made to make general environment more conducive to trade and investments in services. Macro-economic policies like high tariff rates, large fiscal deficits and rigid labour laws may have as adverse effect on competitiveness of services as on goods. Excessive regulations, discretion in the allocation of licenses and permits, corruption and poor quality of infrastructure could adversely affect the growth of services sector.

16.9 LET US SUM UP

The services sector accounts for more than half of India's GDP. This process of tertiarisation (dominance of the tertiary or services sector) of the economy has been accompanied by a decline in the share of the primary sector (agriculture) and a more or less constant share of the secondary (industry) sector over the years. However, though the growth of service sector in India is in line with the global trends, there are unique characteristics of India's service sector growth. Within the service sector, the fastest growing services in the 1990s have been trade, communications, financial services, business services and community services like health and education. However, out of these services, only communication services have witnessed growth in their share in exports and FDI during this period.

In India the share of services sector was already notable in the 1950s, and there has been steady growth of the sector since then. During the entire planning era, Trade and Public administration appear to remain stable with regard to their contribution to services sector GDP. Similar to the world trend, in the Indian economy, growth in the services sector has been accompanied by a substantial growth in international transactions in services. Along with trade, there has been a large inflow of FDI into India since 1990s onwards. But, the inflow of FDI into services sector has been biased towards few of the services sectors.

The analysis of the Services Sector in general and selected sectors, in particular, indicates not only the potential of the services sector, but also the major issues and problems areas. While only few services are analysed, there are many other services. Telecom is one area where India has already made a mark. Some other services are Super Specialty healthcare, Satellite Mapping and Professional services where prospects are bright and India has the necessary competence to provide them. Many of the issues highlighted in various sectors if addressed can help in further growth of the services sector. This can make the services sector which is already the dominant growth contributor to become a high growth propeller, along with foreign exchange earner and employment provider for India.

16.10 KEY WORDS

Duty Credit Scrips	: A Duty Credit Scrip is a scrip which can be used for the payment of Customs Duty.
Employment Elasticity	: It is a measure of how employment varies with economic output.
Trade Barrier	: A trade barrier is a government-imposed restrictions on international trade.

General Agreement on Trade in Services (GATS)	: The General Agreement on Trade in Services, abbreviated as GATS, is a treaty of the World Trade Organisation (WTO) that entered into force in 1995 following the Uruguay Round negotiations. It envisages the objective of establishing a sound multilateral framework or principles and rules for trade in services.
Information Technology Business Process Management (IT-BPM)	: Information Technology and Business Process Management (IT-BPM) refers to engagement of services of a third-party vendor to manage certain aspects of work operations by an enterprise.
Public Private Partnership (PPP)	: Public-private partnership (PPP), partnership between an agency of the government and the private sector in the delivery of goods or services to the public
Quasi-federal	: Quasi-federalism means an intermediate form of state between a unitary state and a federation. It combines the features of a federal government and the features of a unitary government.
Special Economic Zone (SEZ)	: Special Economic Zone (SEZ) is an area in a country that is subject to different economic regulations than other regions within the same country.

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16.12 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Section 16.1 to 16.3 and answer
- 2) See Section 16.2 and answer
- 3) See Section 16.3 and answer

Check Your Progress 2

- 1) See Section 16.4 and answer
- 2) See Section 16.4 and answer

Check Your Progress 3

Services Sector I: Organised
Sector - Issues and Policy

- 1) See Section 16.5 and answer

Check Your Progress 4

- 1) See Sub-section 16.6.1 and answer
- 2) See Sub-section 16.6.2 and answer
- 3) See Sub-section 16.6.3 and answer
- 4) See Sub-section 16.6.4 and answer

Check Your Progress 5

- 1) See Section 16.7 and answer
- 2) See Section 16.7 and answer
- 3) See Section 16.7 and answer
- 4) See Section 16.7 and answer



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UNIT 17 SERVICES SECTOR II: INFORMAL SECTOR-ISSUES AND POLICY

Structure

- 17.0 Objectives
- 17.1 Introduction
- 17.2 Informal Service Sector in India: Definition and Characteristics
 - 17.2.1 Characteristics of an Informal Service Sector
- 17.3 Size of Informal Service Sector in India
 - 17.3.1 Factors behind Growth of the Informal Sector
- 17.4 Legal and Regulatory Framework
- 17.5 Informal Service Sector: Issues and Challenges
 - 17.5.1 Costs Associated with a Formal Enterprise
 - 17.5.2 Risks associated with being an Informal Enterprise
 - 17.5.3 Challenges for their Growth and Scalability
 - 17.5.4 Impact of Demonetisation on the Informal Sector
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- 17.7 Let Us Sum Up
- 17.8 Key Words
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- 17.10 Answers or Hints to Check Your Progress Exercises

Appendix 17.1 Why Informal India cannot be 'Atmanirbhar' India?

17.0 OBJECTIVES

After studying this unit, you will be able to

- explain the informal service sector;
- discuss the salient characteristics of the informal service sector in India;
- shed light on the size of informal service sector in India and main factors responsible for its exponential growth;
- analyse legal and regulatory framework for commercial enterprises and their implications for the informal sector with special reference to the service sector;
- point out issues and challenges being faced by the informal service sector in India; and

- highlight the policy implications of informality particularly focusing on the role of governments at various levels.

17.1 INTRODUCTION

In some countries, the term “informal sector” refers to the private sector while in others the term is considered synonymous with the “underground”, “shadow” or “grey” economy. However, the majority of workers and enterprises in the informal sector produce legal goods and services, albeit sometimes not in conformity with procedural legal requirements, for example, where there is non-compliance with registration requirements, labour and or tax and commercial laws. It is important to note that the informal sector absorbs workers who would otherwise be without work or income, especially in developing countries like India that have a large and rapidly growing labour force, and where workers are made redundant following structural adjustment programmes. Most people enter the informal economy not by choice but out of a need to survive. Given the circumstances of high unemployment, underemployment and poverty, the informal sector has the potential for creation of jobs by providing ease of entry with low requirements for education, skills, technology, and capital. The jobs created falls under ‘low productivity low wage’ syndrome and thus often fail to meet the criteria of decent work. The informal sectors also meet the needs of poor consumers by providing accessible and low-priced goods and services. It supplies labour-intensive exports. This sector thus drives growth and livelihoods.

Considering the significant role played by the informal sector, the present unit while focusing on the informal service sector, is designed to respond to the following questions: (a) how the informal sector is defined in India and what constitutes the informal service sector? (b) what explains growth in India’s informal service sector? (c) what are the issues being faced by the informal service sector in India? (d) what policy initiatives are taken so far to address the concerns of the informal sector in general and informal service sector in particular?

17.2 INFORMAL SERVICE SECTOR IN INDIA: DEFINITION AND CHARACTERISTICS

There is no standard definition of informal sector as such. A formal sector is generally referred to as that part of the economy which operates under the regulatory framework, is taxed by the government, and is monitored for inclusion in the gross national product. The term “informal sector” refers to all economic activities by workers and economic units that are – in law or in practice – not covered or insufficiently covered by formal arrangements. According to National Commission for Enterprises in the Unorganised Sector (NCEUS) unorganised or informal sector consists of all unincorporated private enterprises owned by individuals or households engaged in the sale and production of goods and services operated on a proprietary or partnership basis and with less than ten total workers.

As per International Labour Organisation (ILO), the informal sector consists of units that are unincorporated (i.e., not constituted as separate legal entities of their owners), produce goods or services for sale or barter, and satisfy a number of criteria, for example, they are unregistered, small, have unregistered employees and/or they do not maintain a complete set of accounts. Here, enterprises/ units include not only those that employ hired labour but also self-employed persons

such as street vendors, taxi-drivers, home based workers, etc. A wider concept of informal sector includes informal employment, which as per NCEUS consist of those working in the unorganised sector or households, excluding regular workers with social security benefits provided by the employers and the workers in the formal sector without any employment and social security benefits provided by the employers.

17.2.1 Characteristics of an Informal Service Sector

Informal enterprises are often characterised by ease of entry; the use of local resources; family ownership; small scale; labour-intensive adapted technology; informally acquired skills; and relatively unregulated, competitive markets. The informal sector is mainly located outside of (or antagonistic to) government regulation although this may not be always true. Some firms do act in accordance with government regulations. Some may evade them and in some cases the government may actually try to enforce regulations on small firms. Firms may comply with some but not other regulations. Perhaps the most useful, and common, distinction between the two sectors (formal or informal) seems to be with the number of employees in a firm. But this yardstick loses its relevance in case of professional services such as doctors and lawyers.

Activities Included:

A good way to envision the informal service sector is through some of its activities. Typical activities included in the informal service sector are:

- General Services: tailoring, hair dressing, machinery repair, etc.
- Commerce: retail sector, hotels, restaurants, lodging, etc.
- Finance: Informal financial services including money lending, etc.
- Real Estate: Construction and repair of public physical infrastructure projects, houses, and dwelling units, etc.
- Transportation: taxis, buses, etc.
- Social and community services.
- Miscellaneous: recycling, various illegal, immoral activities, etc.

Because informal firms operate outside some government regulation, often employing family workers, wages are low. Because they may have a harder time getting loans, and rely on informal financing, capital costs are higher. The lower wage-rental ratio, combined with smaller scale, explains why more firms are relatively labour-intensive in nature and operate with simpler technology.

The Informal Service Sector and Micro or Small-Scale Industries

Firms in the informal sector are usually of micro or small size. There are a number of reasons for this, including small, fragmented markets, high transportation costs, little access to capital and the prominence of labour-intensive industry such as food processing and apparel tend to keep down the size of firms. Once these barriers are overcome, firms can become quite large. In addition, a high degree of government regulation is also a factor. The cost of regulations frequently discourages the firms from crossing the invisible line that separates informal from formal while the large firms are better able to withstand those costs; thus, there are few mid-range firms.

Usefulness and Importance

- Informal firms provide some services that are otherwise not available at all or are available to only a small part of the population through the formal sector.
- They provide ancillary services (such as transportation and, repair work) that permit the formal sector to provide a variety of services to individuals who work in the formal sector.
- Informal firms are an extremely important source of inexpensively acquired skills including managerial and organisational skills for the poor workers in the country.
- Informal firms may compete with some formal firms, especially in services, transportation and insurance, but they also provide strong backward linkages to the formal sector by purchasing their machinery and raw materials.
- The informal economy absorbs workers who would otherwise be without work or income, especially in developing countries that have a large and rapidly growing labour force or where workers are made redundant following structural adjustment programmes.
- The informal economy also helps to meet the needs of poor consumers by providing accessible and low-priced goods and services.

Mode of Finance

Informal finance through moneylenders and co-operative organisations formed by poor people are crucial. In both rural and urban areas, there are informal rotating credit organisations in which funds are contributed by members and are available to them either on a regular basis or as needed.

Outside the Coverage of Tax Laws

Unregistered and unregulated enterprises often do not pay taxes, and benefits and entitlements to workers, which results in undervaluation of national income, accumulation of black money and unfair competition to other enterprises. These situations may deprive the government of public revenue thereby limiting government's ability to extend social services.

Informality is a Governance Issue

Informality is principally a governance issue. The growth of the informal economy can often be traced to inappropriate, ineffective, misguided or badly implemented macroeconomic and social policies, often developed without tripartite consultation; the lack of conducive legal and institutional frameworks; and the lack of good governance for proper and effective implementation of policies and laws.

Informality can also be traced to a number of other socio-economic factors. These include:

Poverty prevents real opportunities and choices for decent and protected work. Low and irregular incomes and often the absence of public policies prevent people from investing in their education and skills needed to boost their own employability and productivity. Lack of education (primary and secondary) to